NOTE 13—INCOME TAXES

The income tax provision (benefit) consists of the following:

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Income Taxes:

The components of the provision for income taxes are as follows:

	2010	2009
Current taxes	$135,270	$ 78,764
Deferred taxes	108,687	(2,351,025)
Provision for income taxes	$243,957	$(2,272,261)

The items accounting for the difference between income taxes computed at the federal statutory rate and the provision for income taxes are as follows:

	2010		2009	
	Amount	Impact on Rate	Amount	Impact on Rate
Income tax at federal rate	$(220,780)	34.00%	$(2,164,052)	34.00%
State tax, net of Federal effect	(27,442)	4.23%	(268,979)	4.23%
Permanent Differences:				
Basis adjustment for energy credit	—	0.00%	—	0.00%
Meals & Entertainment	23,721	-3.65%	8,218	-0.13%
Officers Life Insurance	1,337	-0.21%	1,935	-0.03%
Gain on extinguishment	(126,418)	19.47%	—	0.00%
Derivative expense	190,920	-29.40%	145,662	-2.29%
Domestic Production Deduction	—	0.00%	4,921	-0.08%
Total Permanent Differences	89,560	-13.79%	160,736	-2.53%
Deferred Tax Valuation Allowance	402,617	-62.00%	0	0.00%
True Up to Tax Return—Deferred Assets	1	0.00%	34	0.00%
Total Provision	$ 243,956	-37.56%	$(2,272,261)	35.70%

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of the Company’s net deferred income taxes are as follows:

	2010	2009
Current Deferred Tax Assets:		
Warranty Reserve	$ 493,115	$ 584,858
Repurchase Reserve	63,952	105,122
Loan Loss Reserve	43,960	—
Allowance for Doubtful Accounts	1,911	1,910
Accrued Legal Fees	19,114	28,670
Total Current Deferred Tax Asset	622,052	720,560
Non-Current Deferred Tax Assets:		
Share based compensation	—	45,834
Goodwill Impairment	2,437,550	2,034,933
Valuation Allowance	(402,617)	—
Rounding	(2)	—
Total Non-Current Deferred Tax Assets	2,034,931	2,080,767
Non-Current Deferred Tax Liability:		
Accelerated Depreciation	(87,687)	(123,343)
Goodwill	—	—
Sale of Assets	(341)	(341)
Total Non-Current Deferred Tax Liability	(88,028)	(123,684)
Total Deferred Tax Assets (Net)	$2,568,955	$2,677,643

The estimated Tax Credit for the State of Alabama for December 31, 2010 and 2009 of 0 and 0, is estimated based on the annual capital credit available for qualifying projects within the state of Alabama and is determined by multiplying the total actual project costs by 5% and is limited to Alabama income tax liability attributable to income generated by or arising out of the qualifying project. Any remainder of unused capital credit available cannot be carried forward or back.